India's chip story gathers pace

Every SEMICON India brings big numbers, that's just the nature of the beast. But this year's edition, held at Yashobhoomi in New Delhi from September 17 to 19, felt different in one key way – it's that the most interesting news wasn't about what India plans to build, but what was already operational. Signs that India's chip manufacturing story is gathering pace.

The contrast was clear in one grand moment. At SEMICON India 2025, the showpiece moment came when PM Modi was presented with the first made-in-India chip from CG Semi. This year, at SEMICON INDIA 2026, the PM virtually inaugurated commercial production at CDIL Semiconductor in Mohali and Suchi Semicon in Surat.

That takes the number of operational commercial units to five of the 12 projects approved under Semicon 1.0. Five of twelve. Not even at the halfway mark, but no longer just a slide in a pitch deck either. Real progress on the ground was good to see.

Micron added its own proof point as well, when CEO Sanjay Mehrotra reportedly said their Sanand facility is now shipping DRAM and NAND products to worldwide customers. It's important to note here that Sanand only assembles and tests memory using wafers made from Micron's global fabs – it doesn't fabricate them. But still, memory chips being shipped globally out of Gujarat isn't nothing, definitely worth celebrating..

In terms of government policy, it wasn't all talk either. Semicon 2.0, approved by the Union Cabinet in July, increased the budget for chip making endeavours to ₹1,27,500 crore – roughly $13.5 billion – versus ₹76,000 crore allocated for it in phase one. More importantly, its "six pillars" – design, equipment and materials, fabs, advanced packaging, R&D and talent – read like a checklist of everything India lacked when the journey began. According to IT Minister Ashwini Vaishnaw, ISM 1.0 was envisaged as a six-year programme, but it met its objectives in just four – which means Semicon 2.0 has its work cut for it already.



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The silent gap in India's chip story was always the supplier ecosystem, and in SEMICON 2.0 it finally got its due. Lam Research outlined roughly ₹10,000 crore of investment, including its first Indian silicon-component manufacturing facility. Applied Materials reportedly unveiled a $5 billion, decade-long India Vision 2035 programme. Tata Electronics signed MoUs with Nexperia, Fujifilm, JSR and BESI, plus another for a 363-acre vendor park around its Dholera fab. This is the unglamorous plumbing – chemicals, components, packaging – without which no fab survives anywhere, including in India.

Here's where my inner sceptic clears his throat. The government reported around ₹1 lakh crore in investment commitments on day one, and 56 MoUs and announcements across three days. We all know that commitments aren't capacity, and MoUs aren't purchase orders. Plenty will depend on how these things translate to moving the needle on the ground. All of this is good for keeping up the momentum in India's chip industry, but the proof of the proverbial pudding remains to be seen or rather tasted.

What was genuinely wonderful to see is how over 105 chip-design startups now have access to EDA tools, and 20 have raised venture funding. Around 70,000 chip-design engineers have been trained in four years, against a target of 85,000. Vaishnaw expects at least 200 chip design companies to emerge under ISM 2.0 – a "game changer" for home-grown IP, in his words.

Where does that leave us? An EY–ISEA report launched at the event projects India's market growing from nearly $64 billion this year to $200 billion by 2035 – that's three fold growth in under a decade. While fabs are being announced, industry will also need to find a way to decouple fab equipment and fab process to reduce costs and increase scale. Whether India captures that value or merely consumes it will hinge on boring metrics: projects commissioned, suppliers qualified, yields stabilised, and repeat orders won. We'll find out soon enough by next September.